

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$17.17 ▲ 1.48%

12M Price Target
\$22.00

52-Week Range
\$12.08 – \$58.15

Market Cap
\$5.71B

RGTI: Quantum Hype Cooling, Waiting for Federal Catalyst

WHAT HAPPENED

- RGTI ticked up 1.5% on light volume (~8M shares vs the usual 20M+) — this is a low-conviction bounce, not real buying. When volume dries up on a green day, it usually means sellers just stepped back for a breather, not that new money is piling in.
- The stock is sitting at 11% of its 52-week range (\$12–\$58) — translation: it's been absolutely crushed from its highs. That Zacks piece about "expanding beyond the qubit race" is trying to reframe the narrative away from raw specs (where competitors are winning) toward practical use cases.

WHY IT MATTERS

Here's what the setup is really telling you: a director dumped ~\$4.3M of stock in June at \$20-21, and now we're at \$17 with the stock near 52-week lows. Insiders don't sell when they think a big catalyst is coming — that's a yellow flag that the near-term newsflow is quiet. BUT institutions still own 56% (BlackRock and Vanguard combined hold ~14%), which means the "smart long money" hasn't given up on the quantum thesis — they're just waiting. The real question isn't "is quantum real?" — it's "does Rigetti specifically survive long enough to matter?" Cash burn is the whole ballgame here.

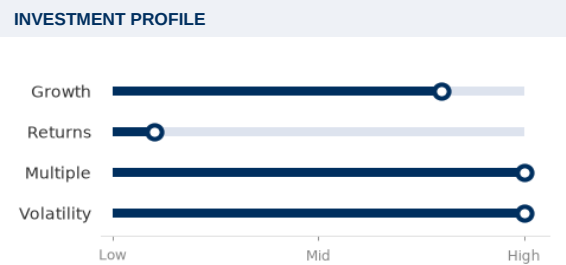
POLICY & POLITICAL WATCH

The big one to watch: the ****National Quantum Initiative Reauthorization Act**** — the original 2018 law expired and Congress has been dragging its feet on the reauth, which would authorize ~\$2.7B+ in federal quantum R&D funding through DOE, NSF, and NIST. If it passes with expanded funding, RGTI is a direct beneficiary through DOE lab partnerships and DARPA's Quantum Benchmarking Initiative (where Rigetti is already a participant). Also watch export controls — the Commerce Department has been tightening quantum tech exports to China, which is a double-edged sword: protects US players from Chinese competition, but limits Rigetti's addressable market for commercial customers abroad.

IS IT EXPENSIVE?

At \$5.7B market cap on maybe \$18M of 2026 revenue, investors are paying roughly \$300 for every \$1 of revenue — that's not a valuation, that's a lottery ticket priced on a dream. For context, even richly-valued AI names trade at 20-30x revenue. The only way this math works is if you believe Rigetti becomes a \$1B+ revenue company within 5-7 years, which requires quantum computing to hit commercial viability AND Rigetti specifically to win share against IBM, Google, and IonQ. It's not "expensive" in the traditional sense — it's a pre-revenue biotech-style bet.

Key Data	
Price (USD)	\$17.17
12M Price Target	\$22.00
Upside / (Downside)	+28.1%
Market Cap	\$5.71B
FY2026E Revenue	\$18M
FY2027E Revenue	\$28M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.30)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$22.00	\$17.50	\$14.00
6 Months	\$30.00	\$20.00	\$11.00
1 Year	\$40.00	\$22.00	\$9.00
2 Years	\$60.00	\$28.00	\$7.00
5 Years	\$120.00	\$40.00	\$3.00
10 Years	\$300.00	\$60.00	\$1.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Broad Technology (+2.45% today) is ripping, driven by continued enthusiasm around AI infrastructure spending and expectations that the Fed stays accommodative. Anything tied to federal R&D allocations is getting a bid.

COOLING OFF: Consumer Discretionary (-2% over 5 days) and Materials — consumer weakness plus tariff uncertainty is squeezing anything cyclical. Quantum names specifically have cooled from the late-2025 mania peak.

ROTATION WATCH: Money is rotating from speculative quantum pure-plays back into profitable AI leaders (NVDA, MSFT, GOOGL) — investors want AI exposure without the science-project risk. That's the headwind pinning RGTI near lows.

RELATED PLAY: If you believe the quantum thesis but want less binary risk, the cryogenic infrastructure names (helium suppliers, dilution refrigerator makers) win regardless of which quantum company dominates. Bluefors and similar picks-and-shovels plays are the safer angle.

WHO'S WINNING IN THIS SPACE?

- IONQ (IonQ): Trapped-ion approach has better coherence times and they're winning some Air Force / national lab contracts — narrative leader in the space right now.
- IBM (IBM): The "adult in the room" of quantum — profitable core business subsidizes quantum R&D, so no dilution risk, and they hit 1,000+ qubit milestones.

RGTI CONTEXT: RGTI is lagging its peer group — the stock is near 52-week lows while IonQ and IBM have held up better. That underperformance tells you the market is questioning whether Rigetti's superconducting approach and cash position can compete. Being the laggard means bigger upside IF they close the gap, but also means the market is pricing in real doubt.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve only)

Entry Points: \$13-14 on pullbacks

Time Horizon: 18-36 months

Thesis Invalidation: Dilutive capital raise at low prices, loss of DARPA/DOE contracts, or a competitor hitting quantum error correction milestone first

Hedging: Pair with a profitable big-tech quantum player like IBM or GOOGL